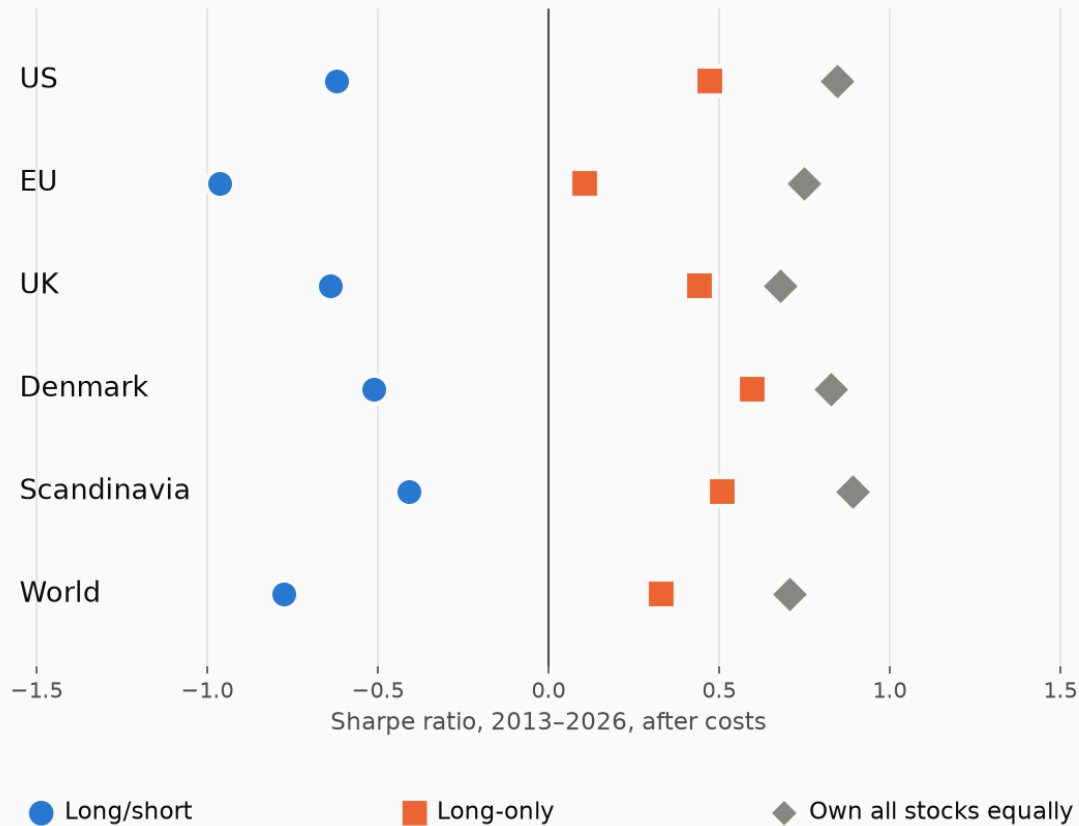


Buy at the 52-week low

Should you buy stocks at their yearly low?



Long/short positive in none of the six markets; long-only beat owning all stocks in none

Henrik Gjernerig · Project 10 · point-in-time universes, local currency (World in USD)

Henrik Gjernerig · LinkedIn

Folklore says stocks at their yearly low are bargains: 'buy low'. The academic evidence points the other way: stocks near their lows tend to keep underperforming (George & Hwang 2004), and in the series A10 Free Fallin' found knives rebound only in market-wide crashes.

I tested it on six markets, 2013–2026: US, Europe, UK, Denmark, Scandinavia and the world. Point-in-time index members, after costs.

Long/short (stocks closest to their 52-week low minus stocks furthest above it): -14.7% to -5.8% a year, positive in none of the six markets. Adjusted for market beta: -15.8% to -7.3%. Long-only (stocks closest to their 52-week low): a better Sharpe than owning all the stocks equally in none of the six markets.

The pre-declared fixes (beta-neutral legs, a turnover buffer, volatility targeting) took the 2020–26 holdout Sharpe from -0.78 to -0.57.

360° view: once its nearest neighbours are in the model, nothing is left: the signal is redundant.

Full factsheet with P&L, trade records, drawdowns, factor attribution, fixes, classification and the 360° view: <https://hgjerning.github.io/now-showing/factsheets/fs12-52-week-low>

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